

Offsetting Big Capital Gains

TAX LOSS HARVESTING (TLH) and its operation can be a bit confusing, but it is very worthwhile to understand.

Think of these kinds of scenarios:

- Participating in an IPO.
- A huge liquidity event.
- Inheriting a seven or eight-figure portfolio.
- Selling a home for millions more than you paid for it.
- Selling a business for hundreds of millions of dollars.
- Hitting record highs in personal equity holdings.
- Accumulating substantial wealth through an employee stock option plan.

In each case, the person faces a combination of challenges. Concentrated positions come with increased risk—think about how much a single stock can fall compared to a broad asset class. But selling that holding to diversify would lead to a major taxable event.

What's an investor to do?

The latest software technology allows us to manage this today in ways that would have been too expensive and complicated to do on a timely basis in the early 2000s. Direct indexing (DI) gives investors with concentrated positions in appreciated assets a huge advantage in TLH over traditional mutual fund and ETF portfolios. If you are fortunate enough to have enjoyed any of the windfalls mentioned above, you should explore this solution.

Direct indexing has been on my radar since the mid-2010s. Truth be told, I wasn't a fan of the early versions of this technology—they were complex